

In *Cansino*, homeowners sued their mortgage lending, alleging that they had represented that plaintiffs' property was appreciating and that plaintiffs could obtain several years of appreciation in their property so that they could sell or refinance before having to make higher monthly payments. (*Id.* at 1469.) The court noted that "the actionable nature of some statements may not readily be determined on demurrer. [Citation.] But plaintiffs provide no authority for their position that a prediction about future market conditions constitutes an actionable misrepresentation, and we have found none." (*Id.* at 1470.)

Here, Plaintiffs allege that at the sales conference, a representation acting at Tuemmler's direction, "presented projections of substantial new business and strong revenue for upcoming quarters". (FAC ¶68.) She "represented robust bookings and strong cash flow for upcoming quarters." (FAC ¶22.) The representative also made "statements regarding Infotechtion US's financial condition, projected revenues, and ability to pay its obligations." (FAC ¶73.)

These allegations are sufficient to go beyond predictions regarding future events. Allegations of "robust bookings" is an allegation based on present facts. Further a "strong cash flow" may be somewhat based upon predictions of future events, but it is also based upon the current state of the company and what bookings and unpaid invoices looked like, which are based on current facts. Overall, the Court finds that the allegations are sufficient to show actionable misrepresentation.

Defendant also argues that the partnership had a right to inspect the US Company's books and therefore there can be no fraud claims. This argument is not supported by legal citations and is not persuasive in any event.

Defendant also cites law regarding what must be alleged to state a claim for fraud against a corporate entity, but only the individual defendant is sued in these claims.

#### Judicial Notice

The Court takes judicial notice that the Certificate of Incorporation of Infotechtion International, Ltd., which shows a date of incorporation of November 27, 2023, because it is unopposed and appears to be a matter not reasonably disputed by the parties. (Evidence Code section 452(h).)

**8. 9:00 AM CASE NUMBER: MSC18-02438**  
**CASE NAME: 88/12 LLC VS GARAVENTA**  
**\*HEARING ON MOTION IN RE: JUDGMENT ON THE PLEADINGS**  
**FILED BY: 88/12 LIMITED PARTNERSHIP BY AND THROUGH ITS GENERAL PARTNER, 88/12 LLC, A CALIFORNIA LIMITED LIABILITY COMPANY**  
**\*TENTATIVE RULING:\***

This matter has been removed from calendar as judgment was previously entered.

**9. 9:00 AM CASE NUMBER: MSC20-00628**  
**CASE NAME: RISOFTEDEV VS CHATFIELD**